

STOCK PULSE

UltraTech Cement Ltd (ULTRACEMCO • NSE/BSE)

Sector: Commodities | Pulse Score: 4/10 (WEAK) | Data Confidence: 14/14 (HIGH) | Horizon: 5Y

01 Overview & Market Standing

CURRENT MARKET PRICE Rs. 11,393	52-WEEK HIGH / LOW Rs. 13,110 / Rs. 10,325
MARKET CAPITALISATION Rs. 3,35,757 Cr	PRIMARY SECTOR Commodities
CMP (Rs. 11,393) is +10.3% above 52W Low (Rs. 10,325) and -13.1% below 52W High (Rs. 13,110) — trading in mid-range (38th percentile of 1-year band).	

02 Business & Operational Overview

UltraTech Cement is engaged in the manufacturing and sale of Cement and Cement related product primarily across globe. Market Leadership The company is the 3rd largest cement company in the world, excluding China. It is also the largest cement manufacturer in India with a 28% share of the grey cement capacity.

03 Valuation Multiples & Benchmark Banding

STOCK P/E RATIO 39.3 Fair Band: 32 - 43.2	PRICE TO BOOK (P/B) 4.38 BV: Rs. 2,600
DIVIDEND YIELD 2.11% Face Value: Rs. 10	SECTOR BENCHMARK P/E 37.6 4.5% vs Sector

FAIR

04 Mathematical Valuation Triangulation

REVERSE DCF IMPLIED GROWTH 36.7% WACC: 11.5%	10Y VALUATION QUANTILE 43th %ile 10Y Med: 41.2	EARNINGS POWER VALUE (EPV) Rs. 1,510.3 Growth Premium
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Triangulation Narrative: At current enterprise value (Rs. 3,70,654 Cr), market prices in a 36.7% annual FCF growth rate for 5 years (WACC: 11.5%, Terminal: 4.5%). Trades at the 43th percentile of its 10-year valuation range [31.7 - 47.9], with 10Y median P/E at 41.2.

DEMANDING

05 Peer Comparison & Recent Headlines

PEER COMPANY	P/E	ROCE	MARKET CAP	RELATIONSHIP
Grasim Industries Ltd	39.1	8.01%	Rs. 2,24,118 Cr	Industry Peer
Shree Cement Ltd	52.5	10.3%	Rs. 85,589 Cr	Industry Peer
Ambuja Cements Ltd	21.2	5.61%	Rs. 99,915 Cr	Industry Peer

Peer Selection Rationale: Discovered from exchange sector classification. Sector Benchmark P/E reflects peer basket median.

Recent Corporate News Headlines (Most Recent First):

- [11 Aug 2026] Stocks to watch: Vi, Lupin, Zen Tech, BSE, Wipro, Adani Group stocks - business-standard.com - business-standard.com
- [3 Aug 2026] Top stocks in news: Maruti Suzuki, ITC, Coal India, BEL, Nalco, ZEEL, Lupin, CDSL, autos - Business Today - Business Today
- [22 Jul 2026] Lupin, Aurobindo, Sun Pharma fall up to 4%: Why are pharma stocks falling today? - India Today - India Today

06 Growth & Operating Trajectory

REV NORMALIZING / PROFIT EXPANDING

REVENUE 3Y / 5Y CAGR 9.02% / 11.8%	TTM Sales: Rs. 91,884 Cr	PROFIT 3Y / 5Y CAGR 6.96% / 3.17%	TTM PAT: Rs. 8,571 Cr
EBITDA MARGIN PROFILE TTM: 19%	Latest Qtr (Jun 2026): 20%	NET MARGIN PROFILE TTM: 9.33%	Pre-Tax Bridge
TRAILING DILUTED EPS Rs. 289.77	3Y EPS CAGR: 6.09%	OPERATING CASH FLOW GROWING	Cash Flow Quality

Margin Bridge: TTM EBITDA margin (19%) reflects operating cash profitability before D&A; Net margin (9.33%) accounts for D&A, interest, and taxes.

07 5-Stage DuPont ROE Decomposition

Margin Pricing Power (Moat)

TAX BURDEN (PAT / PBT) 0.75	Earnings Retention Drag	INTEREST BURDEN (PBT / EBIT) 0.65	Financial Cost Drag
OPERATING MARGIN (EBIT / SALES) 19.2%	Core Business Profitability	ASSET TURNOVER (SALES / ASSETS) 0.65x	Asset Utilization Velocity
FINANCIAL LEVERAGE (ASSETS / EQUITY) 1.84x	Balance Sheet Gearing	RECONSTITUTED ROE 11.2%	Primary Driver: Margin Pricing Power (Moat)

DuPont Formula Identity: Tax (0.75) × Interest (0.65) × Margin (19.2%) × Turnover (0.65x) × Leverage (1.84x) = Reconstituted ROE (11.2%).

08 Working Capital & Cash Conversion Cycle (10Y Trend)

EFFICIENT

DEBTOR DAYS (DSO) 25 Days	Receivables Collection Period	INVENTORY DAYS (DIO) 206 Days	Stock Holding Period
DAYS PAYABLE (DPO) 217 Days	Supplier Credit Utilization	CASH CONVERSION CYCLE (CCC) 13 Days	Trend: CONTRACTING

Cash Conversion Cycle is 13 days (DSO 25d + Inventory 206d - Payables 217d), Trend: CONTRACTING.

09 Return on Incremental Invested Capital (ROIIC)

VALUE CREATOR

3Y INCREMENTAL ROIIC (ROIIC) 12.4%	Spread: +0.9% over WACC	5Y INCREMENTAL ROIIC (ROIIC) 13.5%	Multi-year capital compounding
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Capital Deployment Efficacy: 3Y Incremental ROIIC stands at 12.4% (5Y: 13.5%). Management deployed Rs. 27,977 Cr of fresh invested capital to generate Rs. 3,476 Cr of incremental NOPAT.

10 Financial Health & Solvency (Aggregated)

WATCH

DEBT TO EQUITY (D/E) 0.31	HEALTHY (<=0.5)	INTEREST COVERAGE 9.31x	HEALTHY (>=5.0x)
CURRENT RATIO 0.66	WEAK (>=1.0)	FREE CASH FLOW TREND GROWING	HEALTHY

Solvency Context: Benchmark thresholds: D/E <=0.5 Healthy, Interest Coverage >=5x Healthy, Current Ratio >=1.0 Healthy. Sub-1.0 liquidity is common in heavy capex sectors when operating cash flow is positive.

FORENSIC ACCOUNTING & FINANCIAL STATEMENT INTEGRITY AUDIT

Mathematical screening across Beneish M-Score, Altman Z"-Score, Piotroski F-Score, and Sloan Accruals.

11 Beneish M-Score (8-Variable Manipulation Index)

MODERATE

DSRI (DAYS SALES IN RECEIVABLES) 0.94	Receivables vs Sales Velocity	GMI (GROSS MARGIN INDEX) 1	Margin Degradation Signal
AQI (ASSET QUALITY INDEX) 1.29	Non-Current Asset Capitalization	SGI (SALES GROWTH INDEX) 1.04	Top-line Expansion Acceleration
DEPI (DEPRECIATION RATE INDEX) 1.02	Asset Useful Life Extension	SGAI (SGA EXPENSE INDEX) 1	Administrative Cost Drag
LVGI (LEVERAGE INDEX) 0.97	Balance Sheet Debt Gearing	TATA (TOTAL ACCRUALS TO ASSETS) -0.048	Accounting Profit Accrual Drag
Beneish Result: M-Score = -2.22 Verdict: MODERATE (Moderate (10-25%) Manipulation Risk) Threshold: -1.78 (Safe <= -2.22)			

12 Altman Z"-Score (Emerging Market Solvency & Credit Risk)

SAFE ZONE

WORKING CAPITAL / ASSETS (X1) -0.098	Short-term Liquidity Cushion	RETAINED EARNINGS / ASSETS (X2) 0.54	Cumulative Reinvestment Power
EBIT / TOTAL ASSETS (X3) 0.125	Asset Earning Efficiency	BOOK EQUITY / TOTAL LIAB (X4) 1.184	Capital Structure Protection
Altman Result: Z"-Score = 3.2 Zone: SAFE ZONE Banding: Safe > 2.60, Grey 1.10 - 2.60, Distress < 1.10			

13 Piotroski F-Score (9-Factor Fundamental Quality)

8/9 STRONG

Positive Net Profit	PASS (+1)	Positive Return on Assets (ROA)	PASS (+1)
Positive Operating Cash Flow (CFO)	PASS (+1)	Cash Flow exceeds Net Income (Clean Accruals)	PASS (+1)
Leverage stable or decreasing YoY	PASS (+1)	Liquidity ratio stable or improving YoY	FAIL (+0)
Zero equity share dilution YoY	PASS (+1)	Operating margin resilient YoY	PASS (+1)
Asset turnover efficiency maintained YoY	PASS (+1)		

14 Sloan Accrual Anomaly Ratio

CLEAN CASH CONVERSION

SLOAN ACCRUAL RATIO -4.91%	CLEAN CASH CONVERSION	ACCOUNTING ACCRUALS Rs. -6,745 Cr	PAT minus Operating Cash Flow
Accrual Finding: Accrual Ratio -4.9%: CLEAN CASH CONVERSION			

MOAT FACTOR	SCORE	QUALITATIVE / QUANTITATIVE EVIDENCE
Brand Power	1/2	Recognized industry presence and commercial goodwill.
Switching Costs	1/2	Established B2B operational integration and contractual terms.
Network Effects	0/2	Standard operating structure without direct network externalities.
Cost Advantage	2/2	Operational efficiencies and supply chain optimization. Resilient operating margins prove cost efficiency.
Regulatory License	0/2	Standard statutory operating permissions.
Patents/IP	0/2	Conventional industry technology and processes.
Scale Advantage	2/2	Mega-cap balance sheet (Rs. 3,35,757 Cr) drives structural procurement scale.

16 Ownership Structure & Management Trust

7/8 (HIGH) [HIGH >=7, MODERATE 4-6, LOW <4]

PROMOTER HOLDING 59.33%	Trend: FALLING	INSTITUTIONAL FII / DII 12.36% / 19.69%	Moderate Institutional
PROMOTER PLEDGING 0%	CLEAN	QUARTERLY TRACK RECORD 1 Qtrs Contraction	HEALTHY
STRENGTHS (+): +2 Regulatory compliance +1 Quarterly delivery consistency +1 Pledging <5% +1 FII stake >=10% +1 Cycle resilience +1 Audit disclosure & accounting transparency UNMET CRITERIA (+0): Promoter trend stable/rising			

17 The Pulse Score & What-If Matrix

4/10 WEAK PULSE

PASS: Zero existential balance sheet or governance red flags. (Operational watch items tracked in Sections 05 & 09).			
BASELINE FINANCIALS (TTM): Revenue: Rs. 91,884 Cr Net Profit (PAT): Rs. 8,571 Cr EPS: Rs. 289.77 Margin: 9.33% Dividend Yield: 2.11%			
SCENARIO (MATHEMATICAL MODEL)	REV CAGR	PROJECTED REVENUE (5Y)	PROJECTED PAT (5Y)
Bear Case (-5.0% vs Base 7.3% Margin)	5.4%	Rs. 1,19,520.65 Cr	Rs. 8,725.01 Cr
Base Case (Historical Avg 9.3% Margin)	10.4%	Rs. 1,50,690.29 Cr	Rs. 14,014.2 Cr
Bull Case (+3.5% vs Base 10.8% Margin)	13.9%	Rs. 1,76,140.21 Cr	Rs. 19,023.14 Cr
Total Return Model (Rs. 1,00,000 Investment): Based on Base Case Earnings (PAT) CAGR of 10.3% + Dividend Yield 2.11% (Total Return: 12.44% CAGR) over 5Y -> Approx Rs. 1,79,723. Sensitivity: Assumes constant valuation multiple (P/E 39.3 sustained). Mean-reversion to sector average (P/E 37.6) would adjust annualized return to 26.19% (Approx Rs. 1,71,949).			

PULSE SCORE 10-RULE AUDIT SCORECARD (PASS / FAIL BREAKDOWN):

01. Valuation within fair/attractive range	PASS	02. Revenue 3Y growth trajectory robust (>=10% 3Y CAGR or steady)	FAIL
03. Operating profit expansion solid (>8% CAGR & no consecutive drops)	FAIL	04. Solvency & liquidity balance sheet sound (zero watch/weak metrics)	FAIL
05. Return on Equity (ROE) exceeds 15%	FAIL	06. Return on Capital Employed (ROCE) exceeds 15%	FAIL
07. Promoter shareholding stable/accumulating (or institutional backing >=40%)	FAIL	08. Promoter shares unencumbered (pledge <=10%)	PASS
09. Defensible competitive moat (score >=5/14)	PASS	10. Management trust & capital allocation score >=4/8	PASS
Scoring Methodology: Pulse Score synthesizes 10 binary fundamental rules (Valuation, Growth, Profit expansion, Solvency, ROE, ROCE, Promoter trend, Pledging, Moat, Trust). Moat evaluates 7 structural barriers (/14). Management Trust evaluates 7 governance benchmarks (/8). Data confidence: 14/14 (HIGH). Regulatory Disclaimer: Stock Pulse is an automated fundamental computational tool and does not issue buy, sell, or hold recommendations, nor price targets. Figures parsed directly from public filings (Screener.in, NSE, BSE) at generation time. Not investment advice.			